

Texas WIC Health and Human Services Commission

Effective July 1, 2026

Policy No. FD:19.0

Managing Returned Formula

Purpose

To establish policy and procedures for managing formula returned to the WIC clinic.

Authority

United States Department of Agriculture, Food and Nutrition Service: *Food Package Policy and Guidance* (March 2018); Federal Law - Bill Emerson Good Samaritan Food Donation Act (42 U.S.C. section 1791); State Law - Good Faith Donation Act (Civil Practice and Remedies Code Chapter 76)

Policy

Staff will encourage parents/guardians/caretakers to purchase minimal quantities of formula (1-2 containers) until tolerance is established. Staff should accept unopened formula originally purchased with WIC funds for exchange or return according to the requirements listed in the procedures of this policy. The Local Agency (LA) is responsible for securely storing returned formula, maintaining required documentation, coordinating unreconciled inventory with the State Agency (SA), and properly disposing or donating returned formula.

Staff must not reissue containers of returned formula to another WIC participant for any reason, except as provided within Procedure V. Disaster Reissuance.

Definitions

Electronic Benefit Account (EBA) – The account where food benefits are being held for redemption.

Formula Benefit Update – A change in the type or quantity of formula loaded to a participant's EBA for redemption at a WIC vendor or via drop shipment.

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Formula Exchange – Physically returning any unused formula cans purchased with WIC benefits within the current benefit month to the LA WIC clinic and uploading replacement benefits to the EBA.

Procedures

I. Process for Completing a Formula Exchange for Current Month Benefits

Staff may only replace returned formula for the current benefit month. Before replacement, formula must be physically returned to the LA. For unopened returned containers that were purchased within the current benefit month, staff must use the management information system (MIS) to process the formula exchange. Staff must not issue more formula than the maximum allowed by federal regulations, as calculated by reconstituted ounces.

When a parent/guardian/caretaker requests a different formula than what was originally redeemed, a Certifying Authority (CA) or Formula-Certified WIC Certification Specialist (FC-WCS) must use the following guidelines:

- A. Use the MIS to check that there are no open drop ship orders. Any open drop ship orders should be resolved before starting the formula exchange. See [FD:18.0](#), Procedures XIII. Returned Orders and IX. Cancelled Orders.
- B. Use the MIS to complete the exchange for unopened returned formula containers purchased during the current benefit month.
 - 1. The MIS calculates the reconstituted ounce amount of unopened returned formula containers and the reconstituted ounce amount of the unpurchased formula remaining in the EBA to determine the quantity of formula available to issue.
 - 2. Due to differences in reconstituted ounce amounts, the MIS may not replace an equal quantity of formula benefits to what was originally issued.

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- C. The parent/guardian/caretaker of a participant may request a remote benefit update to change formulas.
 - 1. Staff must first ask if the parents/guardians/caretakers have physical cans to exchange and encourage them to bring the physical cans to the LA before changes to the EBA are performed.
- D. Redeemed containers cannot be exchanged until they are physically returned to the LA. If the parent/guardian/caretaker cannot return the physical cans of formula first, staff must explain the process for completing a formula benefit update and that the formula exchange may not result in an equal quantity of formula. When tailored amounts of formula are needed, use the MIS to increase or decrease the quantity of formula up to the maximum amount allowed.
- E. After the exchange process, remove returned formula from the MIS inventory.
- F. LA staff must contact the State Formula Team at FormulaTeam@hhs.texas.gov to coordinate with the SA regarding unreconciled inventory in the MIS.
- G. Maintain a paper inventory of returned formula using the SA- or LA-developed Returned Formula Log for all returned formula containers. The log should track if the formula was donated or discarded and include at a minimum:
 - 1. Date
 - 2. Participant identifier (FID, PAN, name)
 - 3. Formula name and description – powder (PWD), liquid concentrate (CON), ready-to-use (RTU)
 - 4. Amount returned
 - 5. Staff signature

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6. Date donated to non-profit or discarded

H. Staff must store returned containers in a secure, locked location until donating or discarding.

II. Formula Return of Previous Month Benefit:

For returned containers purchased with previous month's benefits, staff must document the return on a SA- or LA-developed paper inventory and not in the MIS.

Staff may accept all unopened formula containers originally purchased with WIC funds.

A. Accept unopened containers of formula that were redeemed in previous months if a parent/guardian/caretaker returns them to the clinic. It is not necessary to require a parent/guardian/caretaker to return formula that will not be part of the current month's exchange; however, staff should encourage parents/guardians/caretakers to return all unopened containers of the formula that were originally issued.

B. Do not enter returned formula that was purchased in a previous month into the MIS.

C. Maintain a paper inventory using the SA- or LA-developed Returned Formula Log for all returned formula containers that tracks whether containers are subsequently donated or discarded.

D. Staff must store returned containers in a secure, locked location until donating or discarding.

III. Donation

A. LAs, in conjunction with their parent organizations, will determine if they choose to donate formula to a non-profit organization. They may also determine if they will donate to one or multiple organizations.

B. Staff must determine whether returned containers are to be donated or disposed of.

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1. LAs may donate unopened containers that are not expired and in an acceptable condition to local non-profit organizations.
 2. Staff must dispose of formula containers that are dented, swollen, damaged, expired, or that the LA is unable to find a donation site to accept. Refer to Procedure IV. Disposal.
- C. Prior to donating formula, staff must:
1. Inspect the powder cans to ensure they are unopened and the inner seal is intact when the lid is removed.
 2. Inspect the liquid containers to ensure the original wrap or cap is in place and unopened.
 3. Check the expiration dates and the condition of each formula container. If the formula has expired or the container is in an unacceptable condition, the formula must be discarded.
- D. Complete the SA- or LA-developed Returned Formula Log. Be specific about the number of formula containers that are designated to be donated and the number of containers that were discarded.
- E. At the time that the formula containers are donated to the designated non-profit organization, complete the SA- or LA-developed Formula Donation Form. Keep the original signed copy. The non-profit agency may retain a copy of the original signed copy if desired.
- F. File the completed and signed Formula Donation Form in its designated location within the LA clinic.
- IV. Disposal
- A. Use the following procedures to dispose of returned formula that is dented, swollen, damaged, expired, apparently tampered with, or that the LA is unable to find a donation site to accept.
1. A witness must be present to verify that the proper procedure was followed.

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2. Powdered formula – staff must open and empty the contents of the formula containers into trash bags out of public view.
3. Liquid formula – staff must open and pour the contents of the formula containers into a sink or other liquid disposal area out of public view.
4. After the disposal process is completed, staff will complete the Returned Formula Log including the date of disposal and the staff and witness signatures.

V. Disaster Reissuance

During events that impact access to formula in the LA's specific region or the entire state—such as in weather disasters or supply chain disruptions— LAs may temporarily, and at their discretion, reissue unopened cans of returned formula that have not been impacted by a recall to participants who are unable to find formula and are willing to accept the reissued formula. LAs must consult with their local health department and legal counsel regarding local health laws and policies. LAs must inform the SA if reissuing formula and include the length of time they were approved to do so by their local health department and legal counsel.

VI. Record Keeping

Retain all records for a minimum of three (3) years as described in [Policy GA:03.0](#).